

TABLE 7.9 Average Five-Year Financial Characteristics of Peters' "Excellent" and Clayman's "Unexcellent" Companies (1976 to 1980)

	Excellent	Unexcellent
Asset Growth (%)	21.78	5.93
Equity Growth (%)	18.43	3.76
Price-to-Book Value (%)	2.46	0.62
Average Return on Capital (%)	16.04	4.88
Average Return on Equity (%)	19.05	7.09
Average Return on Sales (%)	8.62	2.49

is impressive. Clayman wrote that she believed "the majority of the excellent companies underperformed because the market overestimated their future growth and future return on equity and, as a result, their [price-to-book value] ratios were overvalued."⁵⁴ Using the same variables as Peters, Clayman went "in search of disaster." She constructed a portfolio of "Unexcellent" companies drawn from the S&P 500 Index, and ranked in the bottom third on every variable. Table 7.9 contains a comparison of the financial characteristics of both Peters' excellent companies, and Clayman's unexcellent companies. Peters' companies appear much more attractive on every measure but valuation.

One might intuitively expect a portfolio of Peters' excellent companies to outperform a portfolio of Clayman's unexcellent companies, but that wasn't the case. Twenty-five of the 39 unexcellent companies outperformed the S&P 500, and 14 underperformed. As a portfolio, however, the unexcellent companies outperformed the market by an astonishing 12.4 percent annually.

It wasn't an improvement in the fundamental performance of these unexcellent companies that led to the market price outperformance. Like Peters' excellent companies, the operating performance of the unexcellent companies *declined* on average, although not to the same degree as the excellent companies. In the unexcellent companies, 67 percent experienced a decline in asset growth rates, 51 percent had lower average returns on capital, 51 percent had lower average returns on equity, and 56 percent had lower average returns on sales. Strikingly, examined at the end of the five-year period, Peters' excellent companies were still more attractive on a fundamental basis than Clayman's unexcellent companies. What stands out, however, is that only three of the unexcellent companies had a decline in the ratio of price-to-book value, which means that the market revalued up 36 of 39 companies. This amounted to an average revaluation across the portfolio of 58 percent, a clear example of reversion to the mean. Clayman concludes that the "evidence suggests that companies with low [price-to-book value]